

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-26

TRIPLE L GLOBAL, LLC.,

COMPLAINANT,

v.

SLI, INC. d/b/a/ SEALINK INTERNATIONAL

RESPONDENT.

COMPLAINANT’S OPPOSITION TO RESPONDENT’S
MOTION TO DISMISS COMPLAINT

Complainant Triple L Global, LLC (“Complainant” or “TLG”), pursuant to 46 CFR §502.70(b), files this opposition to the Motion to Dismiss (“MTD”) of Respondent SLI, Inc. d/b/a/ SLI International (“SLI” or “Respondent”). For the reasons set forth below, Respondent’s MTD should be denied.

INTRODUCTION

On June 2, 2024, TLG filed its Verified Complaint against Respondent SLI, alleging that SLI engaged in a pattern of conduct in violation of the Shipping Act of 1984, 46 U.S.C. § 40101, et. seq. (the “Shipping Act”). The Complaint alleges violations of 46 U.S.C. § 41102(c) (Unreasonable Practices); and 46 U.S.C. §41103 (unlawful disclosure of information). TLG also alleged that Respondent’s actions also constituted flagrant failures to comply with FMC regulations governing the conduct and activities of licensed OTIs: 46 CFR §515.32 (c) (Prohibits

withholding information to Principal); §515.32 (d) (Upon request, provide copies of all invoices and breakdown of charges); 46 CFR §515.31 (e) (Provide false or fraudulent claims, false information); 46 CFR § 515.31 (h): (No OTI shall endorse or negotiate any draft, check, or warrant drawn to the order of its OTI principal or shipper without the express written authority of such OTI principal or shipper); 46 CFR § 515.31 (I) (Accounting to principal or shipper).

TLG's Complaint alleges serious violations of the Shipping Act and FMC regulations, and submits that it sufficiently pled and articulated the causes of action and supporting factual allegations.

On September 3, 2024, SLI filed a motion to dismiss the entirety of the Complaint asserting, that TLG, "has failed to establish the Commission's subject matter jurisdiction over this dispute and Triple L's purported claims fail to state a claim upon which relief may be granted. This proceeding an attempt to evade liability for its numerous breaches of the Agreement for which it has no defense in Federal Court." MTD at 4.

The gravamen of TLG's complaint is that SLI, as an FMC licensed OFF, owed a higher duty than those of a common carrier NVOCC. This is because the FMC has held that a licensed freight forwarder is an agent in a fiduciary relationship to its shipper-customer. TLG submits that it has adequately pled the required elements of §41102 (c), §41103, and FMC regulations. The Complaint alleges that SLI's has failed to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering Complaint's cargo. TLG avers that SLI has and continues to engage in unjust and unreasonable practices and regulations on a normal, customary, and continuous basis.

FACTUAL BACKGROUND

TLG disputes SLI's version of facts that gave rise to TLG filing its Complaint. TLG stands by the facts cited in its Complaint as based on real time of events as SLI was threatening to seize and sell all of TLG's cargo if TLG did not deposit 500K. Complaint at 5, 7. TLG disputes certain facts alleged by SLI's in its MTD.

1. "Triple L and SLI were engaged in an ongoing business relationship subject to a written contract containing terms and conditions (the "Agreement")." MTD at 1, ¶ 1. TLG states that it was not engaged in an ongoing business relationship with SLI pursuant to a "written agreement." TLG alleged in the Complaint, that TLG utilized SLI's website portal, entered the required information to open an account and initialed what appeared to be "Terms and Conditions of Service," but did not fully understand each page he initialed. Complaint at 1. ¶ 15. It should be noted that SLI has two different "Terms of Service" posted on its website portal. Although one appears under the heading "Standard Trading Terms," and the other "Sealink's Terms and Conditions," when opened--both are named "Terms and Conditions of Service," but have different and conflicting terms and conditions, e.g., lien clauses and jurisdiction clause.¹

2. TLG does not dispute that TLG paid SLI freight charges while SLI was acting as an agent for Triple L, and "ensuring that payments to common carriers were made and coordinating Triple L's shipments." MTD at 1. However, TLG disputes that, "[a]t all times relevant to this proceeding, SLI was acting as a non-vessel operating common carrier ("NVOCC")." Id. TLG contends that SLI never acted as an NVOCC and always showed as a "Forwarding Agent" in the 5 CMA and 47 Maersk bills of lading. In all the relevant ocean carrier bills of lading (5 CMA and 47 Maersk),

¹ See TLG's Exhibit 1a, which consists of true and correct copies of SLI's "Standard Trading Terms" (Terms and Conditions of Service), attached to SLI's MTD, and Exhibit 1b, "Sealink's Terms and Conditions" (Terms and Conditions of Service), as they appear on SLI's website.

the SLI shows in the Shipper Box as agent for TLG (“SEALINK INTERNATIONAL INC C/O TRIPLE L GLOBAL LLC.”² This is consistent with SLI acting as an ocean freight forwarder.

3. SLI’s ¶¶ 2 and 3 are recitations of SLI’s Terms and Conditions of Service.

4. TLG disputes SLI’s assertions that, “[d]ue to the false declaration, Triple L’s shipment was impounded by the carrier, and the carrier blacklisted SLI, causing SLI to lose its bookings which, as a result, caused a substantial loss in revenue.” MTD at 5. SLI’s assertion that TLG’s shipment was “impounded by the carrier” is the first time SLI makes this claim. SLI’s assertion is also inconsistent with its May 3rd, 2024, demand letter alleging that Triple L’s false declaration caused CMA to delay all of SLI’s shipments for inspections and was seeking to blacklist SLI from conducting business with CMA. TLG alleged in its Complaint that SLI did not provide Complainant with a CMA invoice for the mis-declared shipment. Complaint at 5, ¶

5. On June 12, 2024, TLG sought assistance from the FMC’s CADRS because after TLG repeatedly objected to SLI selling TLG’s cargo, including TLG’s 47 containers shipped with Maersk, unrelated to the 5 CMA containers, SLI continued to threaten TLG with seizure of its cargo shipped with Maersk, and to sell that cargo over TLG’s objections.

6. TLG withheld filing its FMC Complaint before August 2, 2024, because TLG was advised by SLI on June 19th, 2024, that SLI was releasing containers, and was waiting to get the list, and that 2 containers were not manifested, and SLI would advise when they are filed. In addition, on June 20, 2024, SLI advised that containers are being or have been released—and that specific information including container would be provided. This turned out to be false because TLG discovered that SLI, without notice to Complainant or TLG’s original consignee-buyer, sold

² See Exhibit 2, which consists of true and correct copies of a CMA and Maersk bill of lading provided to TLG by SLI.

Complainant's cargo shipped under Maersk bill of lading SII289678. See Complaint at 8, ¶¶ 30, 31, 32.

7. SLI filed suit against Triple L on July 25, 2024, in the Northern District of Texas, asserting breach of contract.

8. On August 2, 2024, Triple L filed this action with the Commission.

LEGAL STANDARD

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions to dismiss, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances not covered by the Commission's Rules to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. "In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rules of Civil Procedure 12(b)(6) and the federal case-law interpreting it." *Cornell v. Princess Cruise Lines, Ltd.*, FMC Dkt. No. 13-02, 2014 WL 531634 at *6 (FMC Aug. 28, 2014) (citing *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 2011 WL 7144008 at *11 (FMC Aug. 1, 2011)); See also, *MAVL Capital Inc. v. Marine Transp. Logistics, Inc.*, FMC Dkt. No. 16-16, 2020 WL 6445041 at *5 (FMC, Oct. 29, 2020) (stating that the Commission looks to Rule 12(b)(6) when considering dismissals for failure to state a claim). "When, as here, jurisdictional facts are intertwined with facts central to the merits of a claim, the Rule 12(b)(6) standard applies." *MAVL Capital*, 2 F.M.C.2d at 203 (citing *Kerns v. United States*, 585 F.3d 187, 192–93 (4th Cir. 2009)). "Under Fed. R. Civ. P. 12 (b)(6), the facts alleged are taken as true, and all reasonable inferences are drawn in the complainant's favor." *Id.* (citing *Maier Terminals, LLC v. The Port Authority of New York and*

New Jersey, Docket No. 12-02, 34 S.R.R. 35, 54 (FMC Dec. 18, 2015). Also, the Commission ruled in *Mitsui* that:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544,570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, [556 U.S. 662, 663] (2009). The complaint must be sufficient to “give the defendant fair notice of what the ... claim is and the grounds upon which it rests.” *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957); see also 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* §1215 (3d ed. 2010) (“[T]he test of a complaint’s sufficiency simply is whether the document’s allegations are detailed and informative enough to enable the defendant to respond.”).

Mitsui, 2011 WL 7144008 at *12.

While a “formulaic recitation of the elements of a cause of action” is not sufficient, “[w]hen there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief.” *Ashcroft v. Iqbal*, 556 U.S. 662, 678-79 (2009). Meeting the plausibility standard “simply calls for enough fact[s] to raise a reasonable expectation that discovery will reveal evidence” of the alleged violation. *Twombly*, 550 U.S. at 556. At the motion to dismiss stage, the “choice between two plausible inferences that may be drawn from factual allegations is not a choice to be made by the court on a Rule12(b)(6) motion.” *Anderson News, LLC v. Am. Media, Inc.*, 680 F.3d 162, 185 (2d Cir. 2012). The Commission explains: “Courts also construe the factual allegations in the complaint in the light most favorable to the plaintiff and must grant the plaintiff the benefit of all inferences that can be derived from the facts as alleged in the complaint.” *Cornell*, 2014 WL 531634 at *6, 33 S.R.R. at 620-621 (citations omitted).

Accordingly, TLG submits that its well-pleaded factual allegations in the Complaint must be assumed to be true and are to be construed in the light most favorable to Complainant TLG.

ARGUMENT

1. THE COMMISSION HAS JURISDICTION OVER TLG's COMPLAINT ALLEGING VIOLATIONS OF THE SHIPPING ACT

A. The FMC has Jurisdiction—SLI is a Regulated OTI Ocean Freight Forwarder

The FMC has personal jurisdiction over SLI as a regulated and licensed Ocean Transportation Intermediary (“OTI”) Ocean Freight Forwarder (“OFF”) and Non-Vessel-Operating Common Carrier (“NVOCC”), as defined in 46 U.S.C. § 40102 (17) (A) (B) and (19) (A) (B). Complaint at 2, ¶ 4. SLI acted only as an OFF or “Forwarding Agent” in its relationship with TLG, and the ocean carriers, CMA and Maersk. TLG maintains that SLI acted as a freight forwarder and never as an NVOCC, which it now claims it always acted in its relationship with TLG. MTD at 1, ¶ 1. TLG refers to Exhibit 2, which consists of true and correct copies of CMA and Maersk bills of lading, that shows SLI clearly holding out as a “Forwarding Agent” in the Maersk and CMA bills of lading. TLG also refers to SLI’s admission that “SLI acted as an agent for Triple L.” MTD at 1, ¶ 1., and Respondent’s Exhibit 1, “Customer Application” that contains a “Designation of Forwarding Agent” reference, even though no Forwarder name is included. Thus, TLG maintains that SLI acted only as a freight forwarder or forwarding agent and never as a carrier NVOCC in its relationship with TLG.

The Commission has held that the status of a “person” under the Act is not determined by his or her own declaration of what he or she is, but what he or she is, in fact, doing. e.g., *Carolina Marine Handling, Inc. v. South Carolina State Ports Authority*, 2000 WL 722272 (FMC) (citing *Stark v. Wickard*, 321 U.S. 288, 309 (1944); *Marine Terminal Practices of the Port of Seattle*, 18 S.R.R. 141, 156 (ID 1978), adopted 18 S.R.R. 1 029 (FMC 1978)). See also, *EuroUSA Shipping, Tober Group, Inc. – Possible Violations of the Act*, 31 S.R.R. 967 (ALJ 2009) (EuroUSA (ALJ

2009)), (It is necessary to examine the evidence of the intermediary operations to determine whether an intermediary operated as an NVOCC or an ocean freight forwarder on a shipment because intermediary conduct and not what it labels itself will be determinative of its status), citing Bonding of Non-Vessel Operating Common Carriers, 56 Fed Reg. 51,987, 51,911 (Oct 17, 1991). (Emphasis added). TLG maintains that SLI acted only as an OFF, and if SLI insists that it always acted and an NVOCC, discovery may be allowed to confirm that SLI acted as an OFF or if SLI ever acted as an NVOCC in its relationship with TLG. “[T]hough the trial court may rule on disputed jurisdictional facts at any time, if they are inextricably intertwined with the merits of the case, it should usually defer its jurisdictional decision until the merits are heard.” *Herbert v. Nat’l Acad. of Sciences*, 974 F.2d 192, 198 (D.C. Cir. 1992).

The status of whether SLI acted as an OFF or VOCC does not alter the fact that SLI is a regulated entity, an FMC licensed OTI. Therefore, the FMC has jurisdiction.

B. Subject Matter Jurisdiction Over SLI’s Alleged Violations

1. Complainant’s 46 U.S.C. § 41102(c) claim relates to the “receiving, handling, storing, or delivering” of property.

SLI argues in its MTD that section § 41102(c) is explicitly limited to regulations and practices with respect to property; that the Shipping Act does do authorize the FMC to address unjust or unreasonable carrier activity that relates to the transportation of property, and the practices at issue “must have an underlying purpose related to terminal operation.” MTD at 6, ¶

14. SLI then argues that TLG’s allegations in the Complaint are not connected with or relate to “receiving, handling, storing, or delivering property” or “have an underlying purpose to terminal operation” as required to invoke the FMC’s jurisdiction because each of TLG’s claims are directly related to the “Agreement,” not subject to FMC jurisdiction, and SLI’s federal case is the proper venue to address any issues relating to the Agreement. MTD at 6,7, ¶ 15. Finally, SLI argues that

because TLG's claimed violations of § 41102(c), on their face, do not involve regulations or practice over which the Commission has subject matter jurisdiction MTD at 6-7, ¶ 13-16.

TLG maintains that the FMC has subject matter jurisdiction over TLG's 41102 (c) claim. The elements required for a section 41102(c) claim are: (a) Respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis; (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property; (d) The practice or regulation is unjust or unreasonable; and (e) The practice or regulation is the proximate cause of the claimed loss. 46 C.F.R. § 545.4.

As addressed above, TLG adequately pled that SLI is a regulated OTI. TLG maintains that SLI acted as a freight forwarder and never as an NVOCC.³

TLG also adequately alleged in its Complaint that the claimed acts or omissions of SLI are occurring on a normal, customary, and continuous basis. TLG incorporated each factual allegation in the Complaint to each Count—including Count 1, violations of 41102(c)-Unjust and Unreasonable Practices in Receiving, Handling, Storing, Or Delivering Property. Complaint at 8. TLG alleged Respondents continue to attempt to convert Complainant's cargo—citing SLI's practice of posting website terms and conditions that run afoul of FMC regulations that require licensed OTI OFFs to act in the best interest of its principal, by among other things, account to its principal for refunds, overpayments, and to not engage in any fraudulent activity, and that SLI's acts and omissions in violation of the Shipping Act as a licensed OFF are occurring on a continuous basis, that SLI's unreasonable and unjust practices relate to receiving, handling, storing, or delivering property of Complaint's cargo and such practices continue to date. In addition, TLG

³ See Exhibit 2.

alleged that SLI's practices or regulations in their terms and conditions continue to be unjust and unreasonable because as of the date of the filing of the Complaint, SLI represented that it was going to release Complainant's cargo, and without notice to Complainant, Respondent seized Complainant's cargo, altered the name of the shipper and consignee on the ocean carrier's bill of lading, and sold Complainant's cargo to an unknown buyer—over Complainant's repeated objections. SLI 's unjust and unreasonable practices were the proximate cause of Complainant's damages.” Complaint at 8, 9 ¶¶36, 37. Thus, TLG adequately pled that the claimed acts or omissions of SLI are occurring on a normal, customary, and continuous basis.

Contrary to SLI's position, TLG has sufficiently pled that SLI's practices and regulations subject of the Complaint relate to or relate to receiving, handling, storing, or delivering property. As stated above, TLG alleges that SLI's practices of posting conflicting website terms and conditions that run afoul of FMC regulations, form the basis for SLI's claim that it possesses the unilateral the right to hold and sell TLG's cargo. SLI's practice of posting unreasonable Terms and Conditions that it fails to observe and enforce when attempting to exercise a lien on TLG's cargo, relates to the receiving, handling, storing, or delivering of TLG's property. For example, TLG alleged that SLI's practice of demanding unreasonable deposits pursuant to its Terms and Conditions, relate to the “receiving, handling, storing, or delivering” because failure by TLG or any shipper to pay SLI, for example, a deposit of 500K will result in SLI not receiving, handling, and delivering TLG's cargo or if demanded prior to or after the booking of a shipment, will affect the receiving, handling and storing of TLG's cargo. TLG submits that the SLI's practices and regulations subject of the Complaint relate to the receiving, handling, storing, or delivering property of TLG's cargo.

TLG adequately alleged that SLI's practices and regulations are unjust or unreasonable. TLG sufficiently pled that SLI's practices and regulations by posting unreasonable and unclear terms in its website portal that are inconsistent with freight forwarding practices, and in contravention with FMC laws and regulations. TLG further alleged that SLI's posting of Terms and Conditions of Service it has no intention of observing or enforcing, is unjust and unreasonable. TLG alleged that SLI sold Complainant's cargo without the required notice even though SLI's Terms of Service, Payment and General Lien on Property clause, clearly requires SLI to provide 10 days' written notice by certified or registered mail with return receipt requested from the Customer. SLI did not provide the required 10 days' notice by certified mail, even though it represented in two emails to Complainant that the Complainant's containers had been or would be released, while all along it was trying to sell Complainant's cargo. The unreasonableness and unjustness of SLI's practices of posting one Terms and Conditions of Service it intended not to observe or enforce is exacerbated by SLI posting another Terms and Conditions of Service.⁴ Both provide terms and conditions when SLI's intends to exercise its lien rights but differ on the required written notices, and other transparency provisions. One version requires SLI to provide the exact outstanding amounts owed by the Customer and requires the Customer ("TLG") to notify all parties having an interest in its shipment, which would include TLG's buyers.⁵ TLG never received the written notices required by SLI's Terms and Conditions of Service, an exact statement of any amounts owed, the specific description of the containers to be seized and sold.⁶ Instead, TLG received false statements from SLI that its containers were being released or would be released—even though SLI always knew it was trying to sell TLG's cargo. Complaint at 8, ¶ 32.

⁴ See Exhibits 1a and 1b.

⁵ Id.

⁶ Id.

Thus, TLG submits that it adequately pled that SLI's practices and regulations are unjust or unreasonable.

Finally, TLG adequately pled that SLI's practices were the proximate cause of TLG's claimed loss. TLG alleged that, SLI's practices or regulations in their terms and conditions continue to be unjust and unreasonable because as of the date of the filing of the Complaint, SLI represented that it was going to release TLG's cargo, and without notice to TLG, SLI seized TLG's cargo, altered the name of the shipper and consignee on the ocean carrier's bill of lading, and sold TLG's cargo to an unknown buyer. Therefore, TLG sufficiently pled that SLI's unjust and unreasonable practices were the proximate cause of TLG's damages. Complaint at 9,10, ¶ 37.

2. TLG Submits that it Adequately Pled the Required Element of "Practices" to Support its Claim that SLI Violated Section 401102 (c).

SLI argues that the Commission does not have jurisdiction over one-time events that are not "normal." MTD at 7. SLI argues that TLG's assertion that SLI engaged in unjust and unreasonable practices fails to conform to the Commission's rigorous definition of a "practice," and thus does not fall within the FMC's jurisdiction. *Id.* TLG maintains that it adequately alleged in its Complaint that SLI, as a regulated OTI OFF, engaged in practices and procedures, which are and continue to be directly related to receiving, handling, storing, or delivering property, and are unjust and unreasonable, and that TLG stated plausible facts to support a violation of §41102(c). In addition, TLG alleged that the unjust and unreasonable practices and procedures by SLI are occurring on a normal, customary, and continuous basis, and are the proximate cause of Complainants' alleged injury and damages.

TLG alleged that SLI's practices occurred on "a normal, customary, and continuous basis because SLI continues to assert ownership of Complainant's cargo. Complaint at 9, ¶¶ 35, 36. In addition, TLG alleged that SLI continue to attempt to convert Complainant's cargo—citing SLI's

website terms and conditions, and that SLI's unreasonable and unjust practices relate to receiving, handling, storing, or delivering TLG's property, and such practices continue to date. *Id.* TLG submits that SLI's practice is established by its posting of its Terms and Conditions of Service which it applies to TLG and forms SLI's basis to seize and sell TLG's cargo, and by failing to observe and enforce the notice provisions required by the same SLI Terms and Conditions. TLG alleges that SLI's publishing of its Terms and Conditions on its website is pursuant to their normal, customary and continuous business practice that meets the standard of 46 C.F.R. § 545.4(b), and that such practice is not isolated, discreet, or on a one-time basis—but continuing to date.

3. TLG Has Standing to Seek Reparations Despite SLI's Claim that TLG Is Not a "Direct Purchaser."

SLI argues that the "Direct Purchaser Rule" bars TLG from seeking reparations because TLG lacks standing to do so. SLI alleges that TLG has not "alleged any facts showing that it paid ocean freight because Triple L did not pay any of the contested tariffs that were imposed by the carrier, nor has Triple L alleged that it received an assignment from the paying party." MTD at 10, ¶¶ 23, 24. TLG submits that it paid CMA and Maersk the ocean freight charges through SLI, acting as an agent for TLG, who ensured that payments to common carriers were made. MTD at 1, ¶ 1.

TLG respectfully submits that the "Direct Purchaser" rule has no application to this proceeding. TLG is not seeking reparations, refunds, or disputing demurrage and detention charges in this proceeding against the ocean carriers involved in transporting TLG's cargo—CMA and Maersk. TLG's Complaint seeking reparations is direct against SLI acting as an OTI OFF and not the ocean carriers. TLG is seeking reparations for injuries resulting from Respondent's violations of 46 U.S.C. § 41102(c) and 46 U.S.C. § 41103 (unlawful disclosure of information),

and SLI's flagrant failures to comply with FMC regulations governing the conduct and activities of licensed OTIs enumerated at 46 CFR §515.31 and § 515.32. Complaint at 2, 3, ¶¶ 6-7.

B. TLG Stated a Claim for Unjust and Unreasonable Practices Under 46 U.S.C. § 41102(c).

Following SLI's sequence of its arguments in its MTD, TLG submits that it fully addressed above SLI's assertion that TLG failed to State a Claim to support its allegation that SLI violated § 41102 (c). To the extent that SLI raises new or additional arguments, they will be addressed below.

i. Triple L fails to prove SLI's acts related to receiving, handling, storing, or delivering property. TLG addressed this SLI assertion above. TLG submits that SLI's failure to provide proper accounting, overpayments, and refrain from fraudulent activity are all activities and matters that relate to the receiving, handling, storing, or delivering of property. In addition, to the extent that TLG alleges that SLI's Terms and Conditions of Service contain unreasonable terms and conditions including its lien clause, that relate to the "receiving, handling, storing, or delivering of property" as required by § 41102(c). Again, the unjust and unreasonable element is heightened when the lien's written notice provisions are completely ignored—allowing for the unchecked conversion of shippers' cargo—with no consequences.

ii. Triple L fails to demonstrate SLI engaged in a "practice." TLG states that it fully addressed above, that SLI engaged in a "practice" as required by §41102 (c).

iii. Triple L fails to plead that the practice was unjust or unreasonable. TLG submits that it sufficiently met its burden to show SLI engaged in a practice, and such practice was unjust and unreasonable.

TLG notes that the case cited by SLI, *Maersk Line A/S v. Carew*, 588 F.Supp.3d 493, 507 (S.D.N.Y. 2022), was a case involving a breach of service contract action, and that did not address allegations of FMC violations.

SLI also argues that with respect to a carrier exercising its lien rights, the Commission has stated that “reasonable notice to cargo owners that their cargo may be considered abandoned, subject to a lien, and liquidated” would be a “reasonable business practice,” citing *Mavl Capital Inc. v. Marine Transport Logistics*, 3 F.M.C.2d 135, 164 (FMC 2021). However, the *Mavl* case involved an NVOCC, Marine Transport Logistics, acting as an NVOCC. Here, TLG alleges that SLI acted as an OTI OFF, with a higher duty under FMC laws and regulations. Also, *Mavl* did not involve, as here, allegations that an OFF threatening to sell a shipper’s cargo, then subsequently provides written assurances that the shipper’s cargo has been or would be released while at the same time secretly selling the shipper’s cargo. Finally, to distinguish, *Mavl* did not involve allegations that the OFF failed to observe and enforce its Terms and Conditions of Service that required, among other things, written notice of lien by certified or registered mail, or that the OFF posted conflicting Terms and Conditions of Service on its website.

iv. Contrary to SLI’s assertion, TLG submits that it adequately alleged the requirements to support a violation of § 41102(c), and did reference in the Complaint specific provisions of SLI’s terms that it claimed violated the Commission’s regulations. See Complaint at 3, ¶ 9 (“SLI ’s Terms of Service, Payment and General Lien on Property clause, clearly requires SLI to provide 10 days’ written notice by certified or registered mail with return receipt requested from the Customer).

v. SLI argues that SLI’s actions in seizing and selling TLG’s cargo without notice was “an exercise of SLI ’s rights as a lienholder—according to the terms and conditions of the Agreement—yet Triple L states SLI “did not have lien rights.” MTD at 12, ¶ 32. However, SLI misses TLG’s argument that SLI’s Lien Clause in its Terms and Conditions of Service require written notice by certified or registered mail and presupposes that SLI would also provide some

written accounting at the time or an invoice as to the exact amount that was owed to SLI and identify TLG's cargo subject to seizure, among other information required in a lien notice. It appears that SLI's other Terms and Conditions of Service on its website—has different notice provisions—30 days written notice and statement of exact amounts owed.⁷

vi. SLI next argues that SLI “acting as an NVOCC, has “an in rem maritime lien for unpaid freight against the cargo they are responsible for transporting,” citing *Logistics Mgmt. v. One Pyramid Tent Arena*, 86 F.3d 908, 914 (9th Cir. 1996). TLG again maintains that SLI did not act as an NVOCC and therefore, its bill of lading clause does not apply. SLI did not comply with providing the required notice of lien to TLG and engaged in deceit when it represented it had or would release TLG's shipments shipped with Maersk. SLI could have opted to act like an NVOCC and issue its own house bill of lading—but did not. TLG maintains that email threats by SLI to sell TLG's cargo is not a replacement for the notice required in both of SLI's Terms and Conditions of Service.

vii. The FMC has Exclusive Jurisdiction to Hear TLG's Shipping Act Claims

SLI argues that TLG's allegations in the Complaint are not sufficient to invoke the FMC's jurisdiction because each of TLG's claims are directly related to the “Agreement,” not subject to FMC jurisdiction, and SLI's federal case is the proper venue to address any issues relating to the Agreement. MTD at 6,7, ¶ 15. TLG disagrees. The complaint alleges violations of Shipping Act sections 41102(c), 41103(a), 41103(a), and various sections of Part 515 governing the conduct and activities of OTI. Commission precedent holds that even when there is litigation between the parties in other courts, the Commission has an obligation to determine whether an entity has violated the Shipping Act. *Cargo One, Inc. v. Cosco Container Lines Co. Ltd*, 28 S.R.R. 1635,

⁷ See TLG's Exhibit 1a and 1b.

1645 (FMC 2000); *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 30 S.R.R. 991, 998 (FMC 2006).

C. Triple L Has Not Plead a Plausible Violation of 46 U.S.C. § 41103.

TLG submits that it adequately pled a Plausible Violation of 46 U.S.C. § 41103. Complainant alleges that Respondent SLI unlawfully disclosed information concerning Complainant's cargo, relating to the nature, kind, quantity, destination, consignee, and routing of Complainant's cargo without Complainant's consent as the shipper, and the information was used to the **detriment and prejudice** of Complainant as shipper and Complainant's consignee—the ultimate good faith purchase. (Emphasis added). TLG its prayer for relief requested SLI to pay Complainant reparations for the unlawful conduct described above, including loss profit, loss of value of **Complainant's cargo unlawfully sold by Respondent**, along with interest and Complainant's attorneys' fees, costs, and as described in 46 U.S.C. § 41305. TLG did allege that to its detriment and prejudice, it suffered injury as a result of SLI's disclosing confidential information unlawfully disclosed information concerning Complainant's cargo, relating to the nature, kind, quantity, destination, consignee, and routing of Complainant's cargo without Complainant's consent.

TLG alleges that it did identify in the complaint the Maersk bill of lading number that contained the two shipments unlawfully seized and sold by SLI. Complaint at 8, ¶ 32. TLG avers that SLI is in possession of the Maersk bill of lading as it could not have sold TLG's cargo without providing to any potential buyer, the nature, kind, quantity, destination, consignee, or routing of TLG's cargo. SLI cites to an FMC recent decision, where it was alleged that the respondent engaged in a "smear campaign" by contacting the Complainant's suppliers, demanding payments for freight and demurrage, and contacting freight forwarders, claiming Complainant had a bad

reputation paying its bills. *Way Interglobal Network, LLC v. Shenzhen Unifelix Scm Limited*, 2024 WL 1741944, at *32-33 (ALJ Apr. 19, 2024). The case cited by SLI is inapposite to the facts here. In *Way Interglobal Network*, the court found that the evidence showed that the disclosures complained of were made to the shippers, consignees, agents, and third parties who [Respondent] believed would be involved in releasing the containers. *Way Interglobal Network* at 37. Here, TLG alleges that SLI disclosed confidential information regarding TLG's shipments to potential buyers—not related to the shipper, here TLG, and the consignee—TLG's buyer. TLG disputes that SLI's version of the information communicated to potential buyers, that the information was false and to the detriment and prejudice of TLG, and that the information was not communicated for cargo release purposes but to sell TLG's by providing false information. Therefore, TLG submits that plausibly pled a claim for relief under § 41103(c).

CONCLUSION

For the foregoing reasons, TLG respectfully requests that the motion to dismiss be denied, and SLI is ordered to file their answer in accordance with FMC practice and procedures. Alternatively, in the event the Presiding Officer finds TLG's Complaint requires clarification to any Count, or for any other reason, TLG respectfully requests the opportunity to amend its Complaint pursuant to 46 CFR § 502.66 (a).

Respectfully Submitted,



Henry P. Gonzalez, LL.M.
Gonzalez del Valle Law
1250 Connecticut Ave., N.W., Suite 700
Washington, D.C. 20036
Tel: 202-973-2980
gonzalez@gdvlegal.com
Attorneys for Complainant Triple L Global LLC

Dated: September 24, 2024

CERTIFICATE OF SERVICE

I certify that, on September 24, 2024, a true and copy of Complaint's Opposition to Respondent's Motion to Dismiss was filed via electronic mail with the Secretary, Federal Maritime Commission, and a copy was served via electronic mail on Respondent's counsel:

Daena Goldsmith Ramsey, Esq.
Shields Legal LLC
16400 Dallas Parkway, Suite 300
Dallas, TX 75248
dramsey@shieldslegal.com



Henry P. Gonzalez, LL.M.

Dated: September 24, 2024